

Valuation Case: Project Astra

Apr 10, 2025

Spring 2025

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Key Investment Highlights

Astra

1

Attractive industry mix of stability and scalable growth

- Resilient household items, expanding global cosmetics
- Strong growth across core markets coupled with K-beauty penetration

2

Leveraging China dominance to fuel next leg of global expansion

- Established brand, dominating China's beauty market
- Future growth anchored in Japan and the US

3

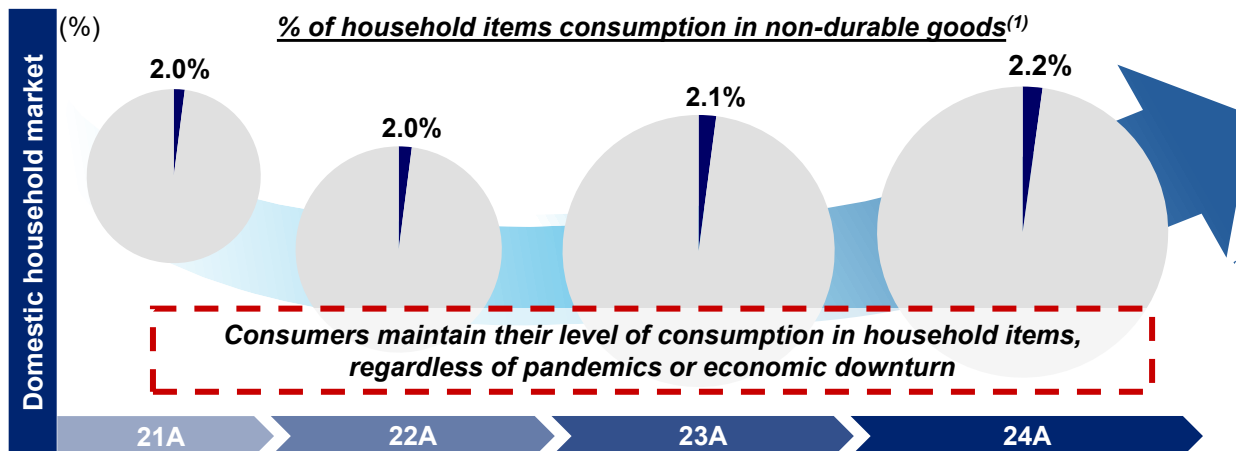
Unique opportunity combining compelling upside potential with robust downside protection

- Stable top line and cash flow from household goods
- Expected upside potential from beauty segment with integrated system

Resilient household items, expanding global cosmetics

The stable domestic household items market offers downside protection, while the fast-growing global cosmetics market presents a compelling opportunity for K-beauty brands

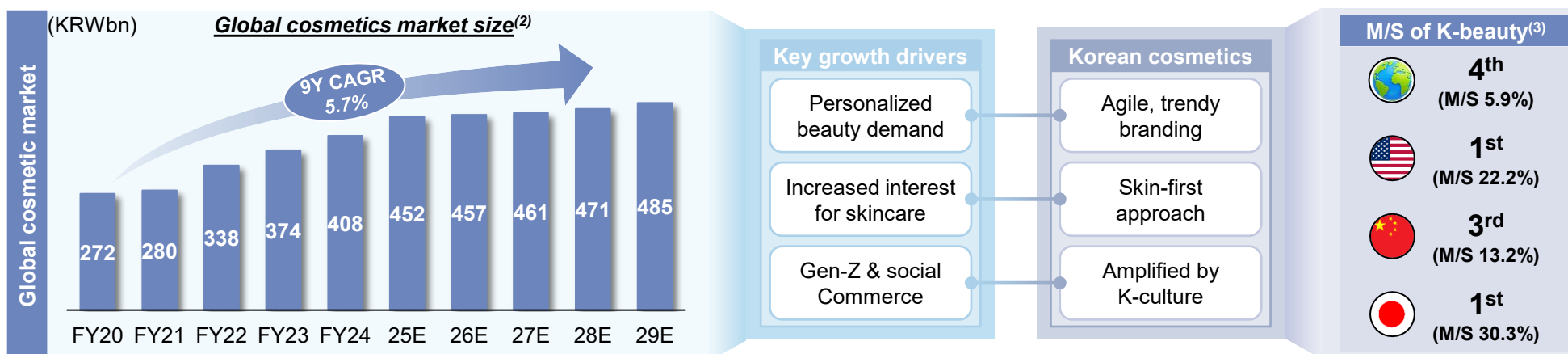
Stability of domestic household item consumption



Key aspects

- 1 Acyclicity**
As household items are necessities for daily life, consumptions are less impacted by economic situations – being **acyclical**
- 2 Distribution channels are essential**
Being a low value-to-weight business, logistics & storage costs is a matter, thus **distribution channels** are prerequisite
- 3 Economies of scale is mandatory**
A typical low-margin, high-volume business in which cost reduction, achievable through **economies of scale**, is essential

The global cosmetic market growth closely intertwined with K-beauty momentum



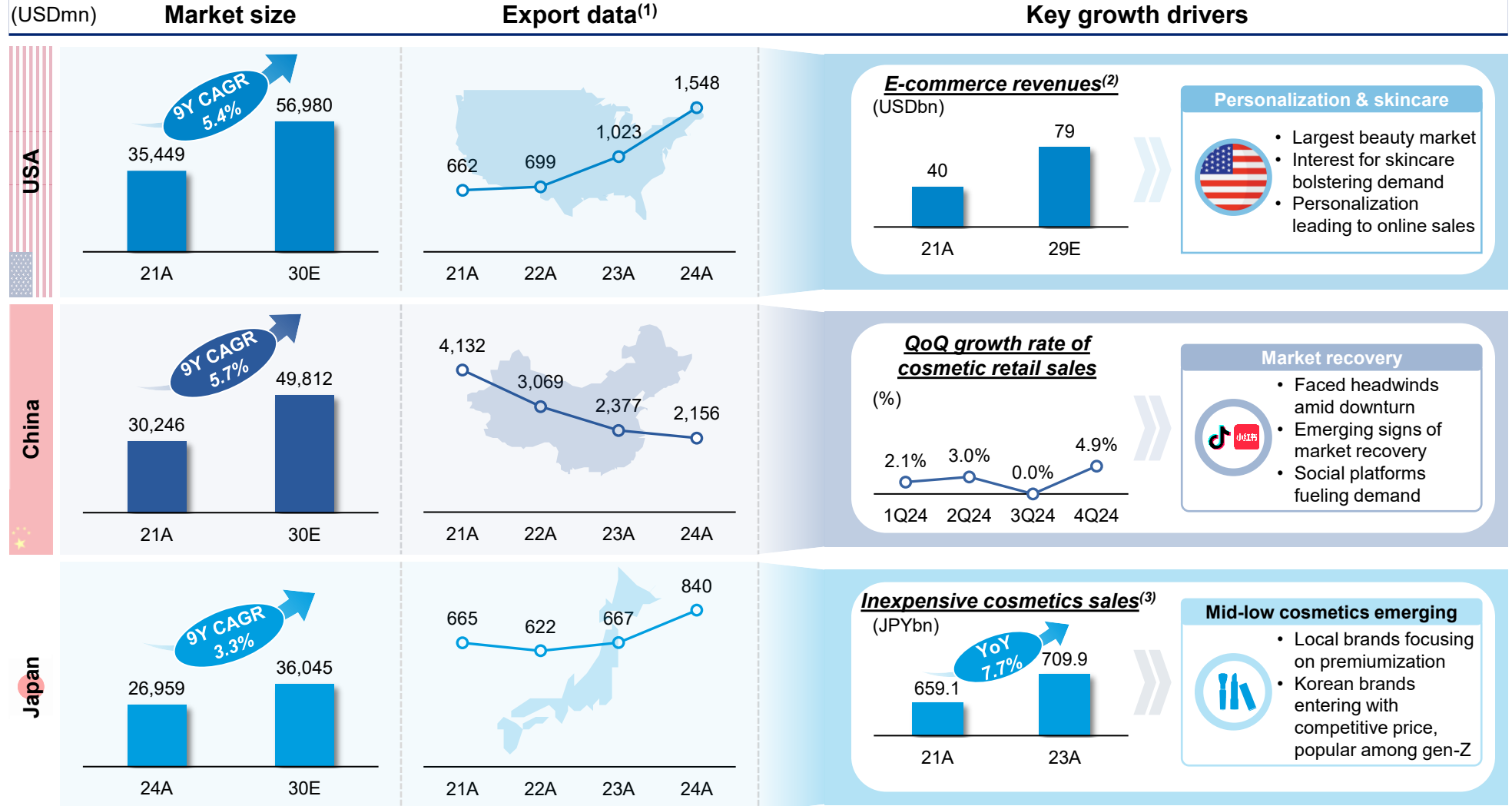
Source: KOSIS, KITA, Company Filings, Market Intelligence

Notes: (1) Non-durable goods sales were stable at 55%; (2) As of Feb 2025; (3) Market share among imported products

① Attractive industry mix of stability and scalable growth

Strong growth across core markets coupled with K-beauty penetration

The top three cosmetics markets - the U.S., China, and Japan - are expected to maintain growth, offering opportunities for Korean brands to expand their presence



Source: KCS, NCS, Market Intelligence

Notes: (1) As of Feb 2025; (2) As of Aug 2024; (3) As of Oct 2024

② Leveraging China dominance to fuel next leg of global expansion

1 2 3

Solid Market Presence

Established brand, dominating China's beauty market

Astra's flagship brand, AGE20'S has cemented its position as a top cushion brand in China, K-beauty's largest export market, through bold and strategic influencer marketing



② Leveraging China dominance to fuel next leg of global expansion

Future growth anchored in Japan and the US

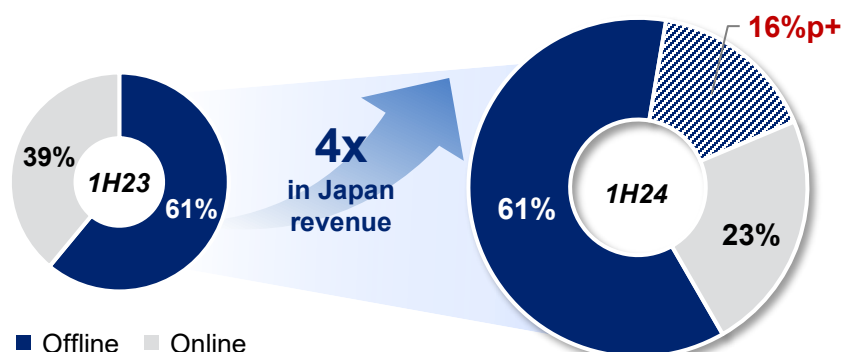
With US and Japan being Korea's second- and third-largest beauty export markets, revenue in Japan is gaining momentum through LUNA, while US sales expected to ramp up from a low base

LUNA targeting Japanese market



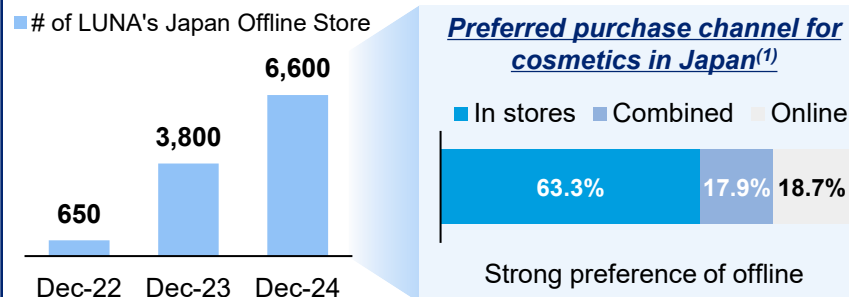
Set to launch in US starting 2025

Japan revenue breakdown of LUNA

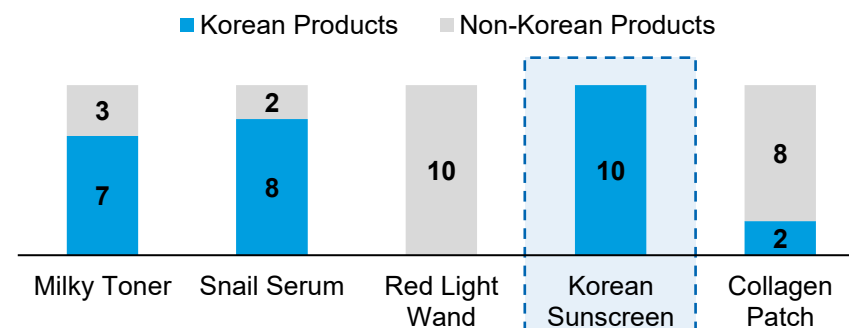


Japan revenue quadrupled in 1H24, with 77% coming from offline sales

Reasons behind offline based marketing



Top 10 items in Amazon's top 5 skincare trends⁽²⁾



Penetrating the US market through sunscreen

- Building on strong reputation of Korean sunscreens, AGE20'S is preparing to launch a **sun care line** in the US

MOU with Silicon2 set to accelerate US revenue growth

- Strategic **partnership with Silicon2** unlocks full-channel access to the US beauty market, including **Amazon**

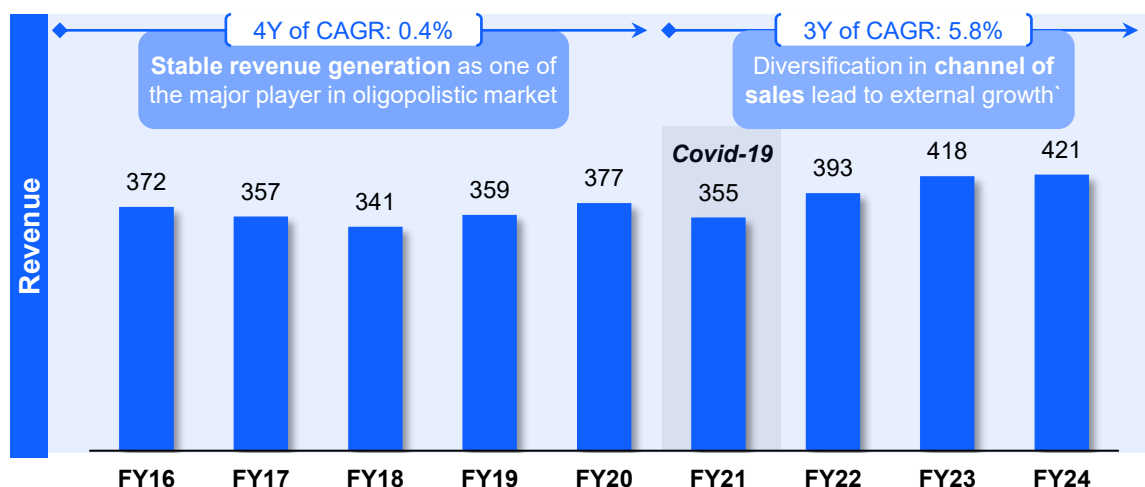
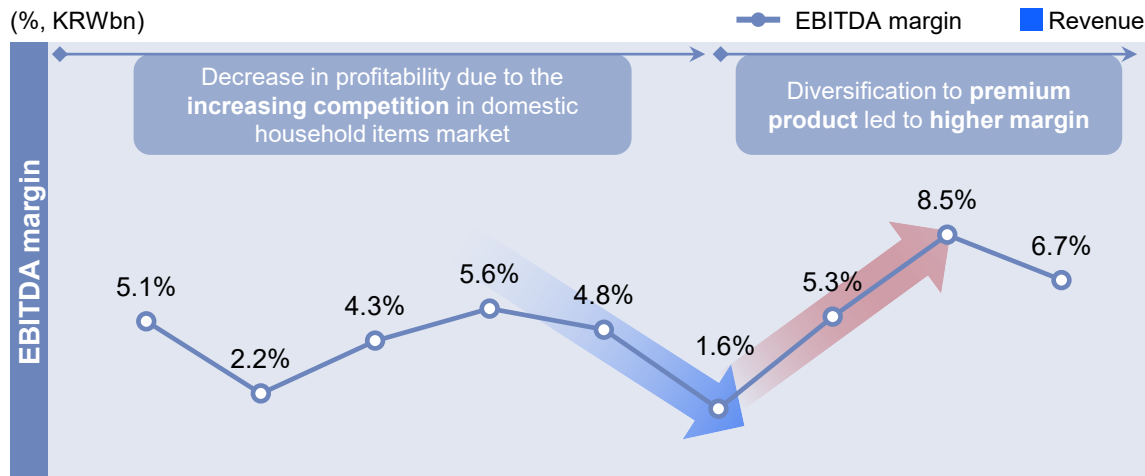
③ Unique opportunity combining compelling upside potential with robust downside protection

Stable top line and cash flow from household goods

1 2 3
Exclusive Opportunity

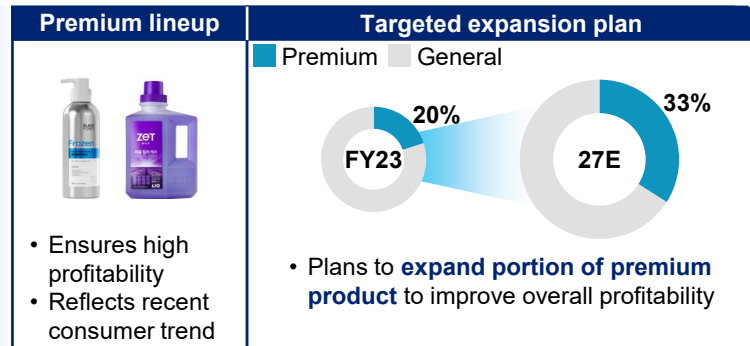
Backed by steady consumer demand, Astra has strengthened its position in the household items sector, delivering resilient cash flow generation

Revenue & EBITDA margin trend of Astra

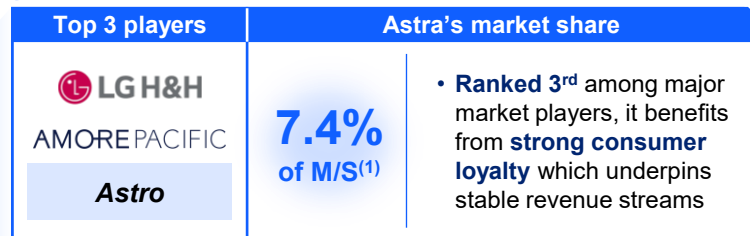


Key factors

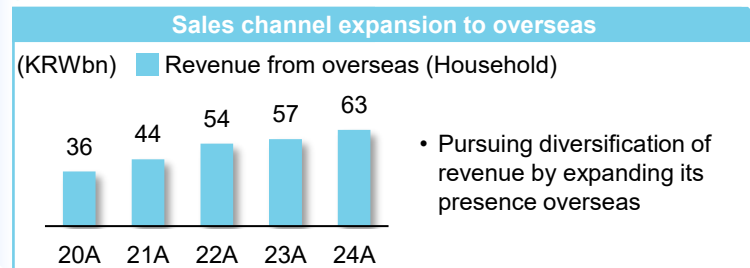
① Product portfolio diversification



② Stable position in domestic market



③ Expansion in sales channel



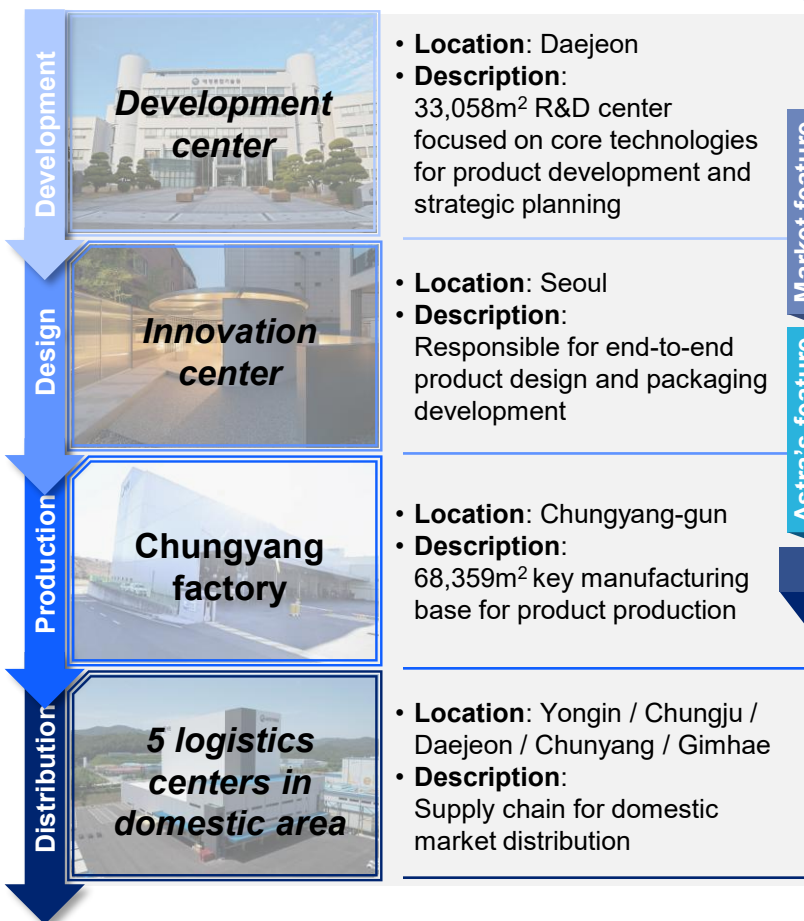
③ Unique opportunity combining compelling upside potential with robust downside protection

Expected upside potential from beauty segment with integrated system

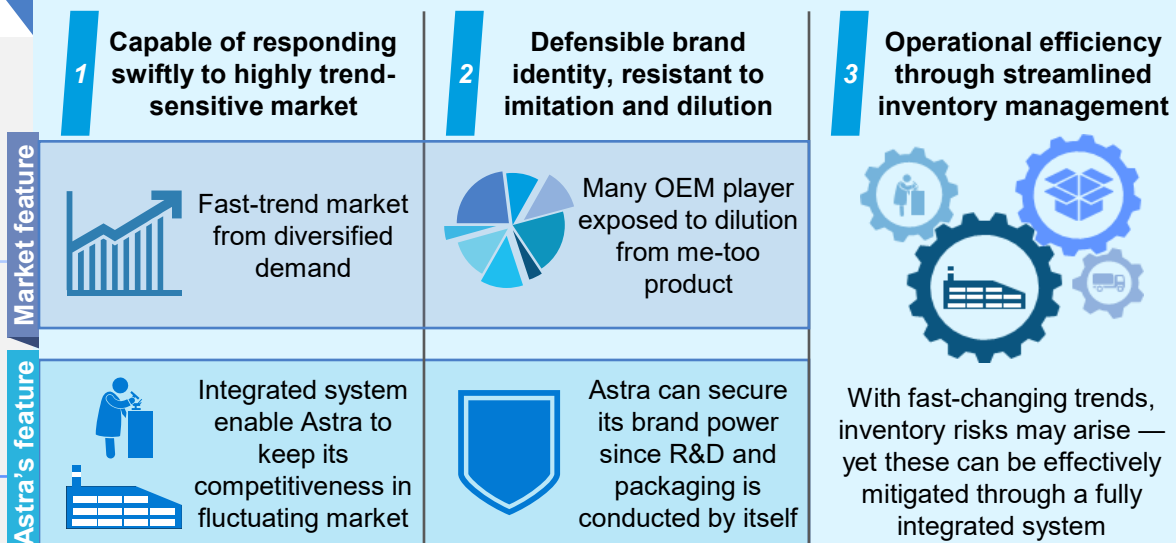
Astra's internalization of the entire cosmetics value chain unlocks operational leverage, enhances cost control, and secures a sustainable competitive edge

Astra's integrated value chain

Rare opportunity to acquire an integrated cosmetics company which covers the whole value chain

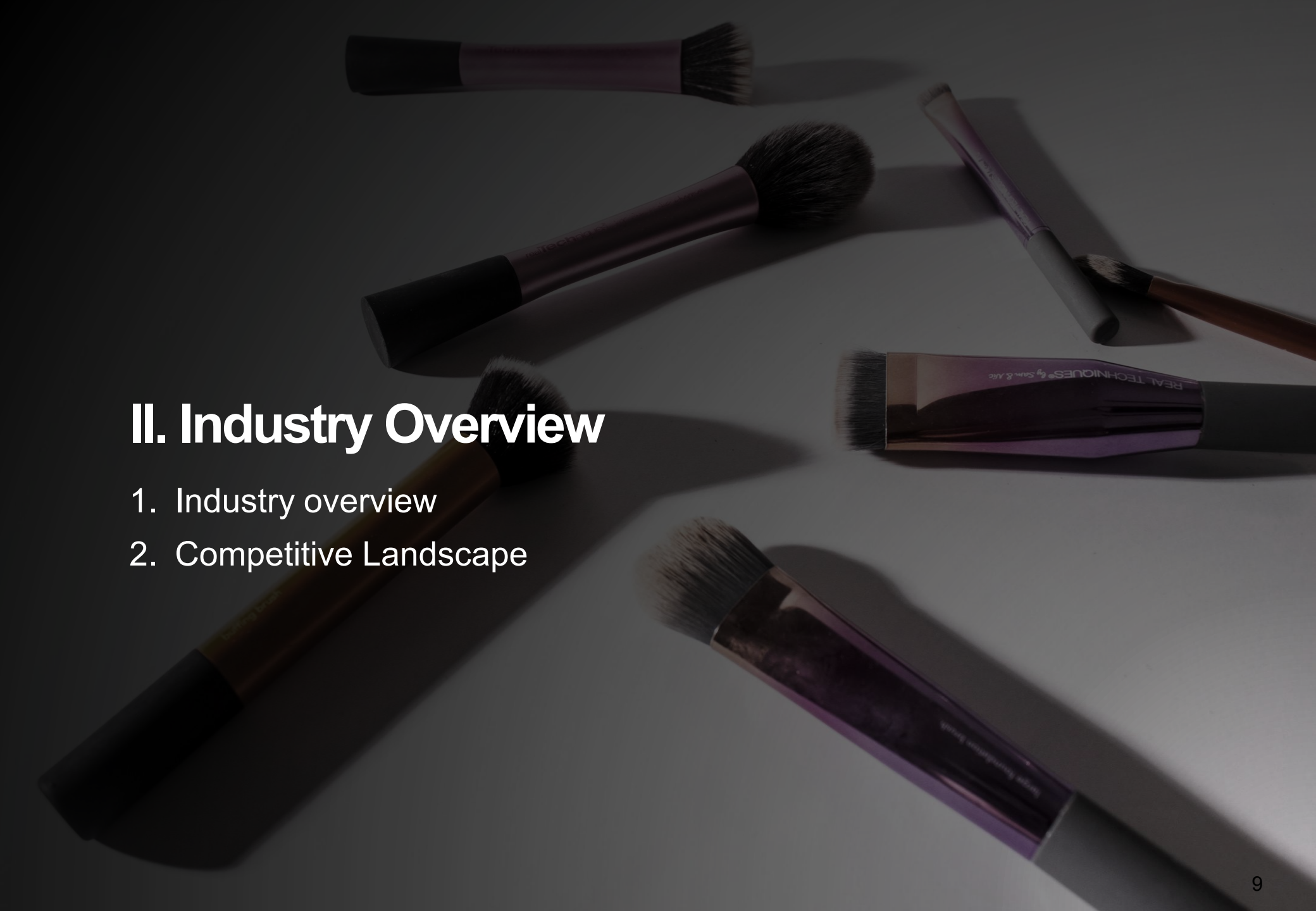


Strengths derived from production-stage integration



Robust distribution and supply network





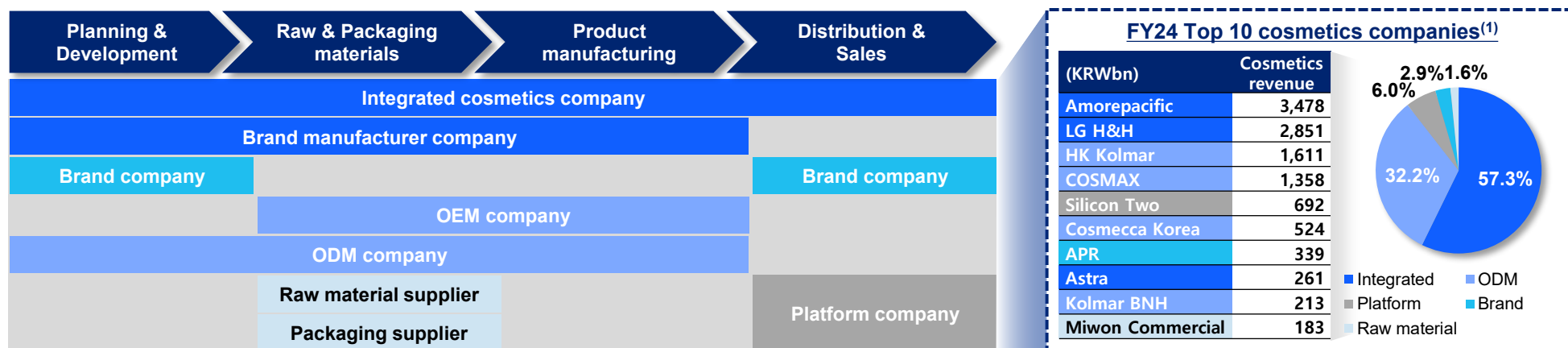
II. Industry Overview

1. Industry overview
2. Competitive Landscape

Industry Overview

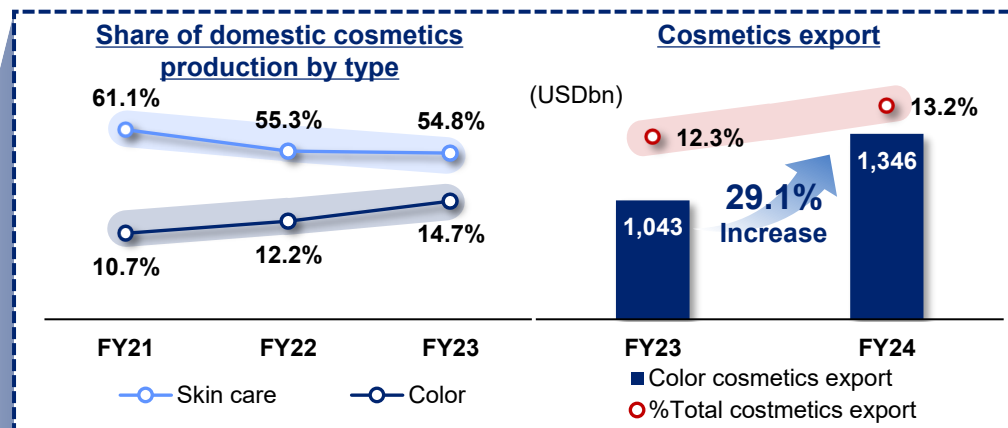
The domestic cosmetics industry is categorized into phases of development, material production, manufacturing, and distribution, with a rising presence of color cosmetics

Value chain of cosmetics industry



Categories of cosmetics by function

	Description	Products
Skin care	Maintains skin health through cleansing and protection	 Toner  Essence  Lotion
Color cosmetics	Corrects or enhances skin tone for makeup purposes	 Foundation  Blush



Source: DART, Market Intelligence

Notes: (1) Shares are calculated based on the total revenue generated by the top 10 cosmetics companies in FY24

Industry Overview (Cont'd)

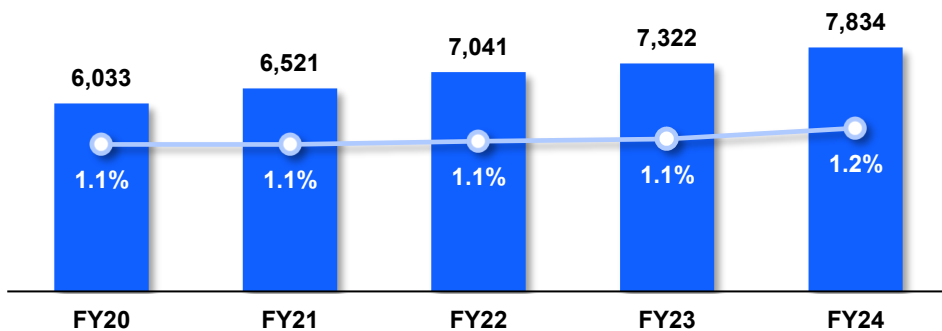
The domestic household items industry continues to see stable demand despite the economic downturn, as companies diversify sales channels and expand into premium product lines

Stable consumption of household items

(KRWbn)

Household items account for a consistent proportion regardless of economic fluctuation

Household goods market size
% of total consumption



1 Nature of non-durable goods

- Consumer spending remains **relatively stable** despite economic fluctuations, as **consumption of non-durable goods cannot be deferred**

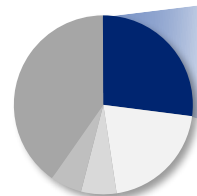
2 Increase in single-person households

- Since household items are required by each household, the **growing number of households** leads to more frequent purchases

Recent trend of household items

1 Growing trend of cost-effective consumption

Low brand differentiation



27.1%
of respondents⁽¹⁾
Reported to
purchase
discounted products

Suffering with low margin

- Despite **steady demand** during the **economic slump**, manufacturers face losses due to the **continued sale of low-cost products**

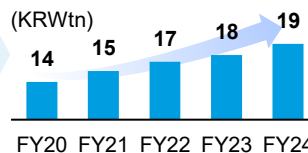
2 Evolution of sales channel

Rise of on-line & multi-brand shop sales

Hypermarket

Homeplus
emart24
LOTTE MART

Increasing online shopping sales of household items (KRWtn)



Multi-brand shop

OLIVE YOUNG
daiso

On-line

coupang
SSG.COM
N 쇼핑

3 Efforts for product differentiation

Premium wellness products



Premium toothpaste



Ergonomical designed toothbrush

Eco-friendly products



Recyclable shampoo refill



Microplastic-free detergent

Competitive Landscape

Astra competes with diversified companies operating across both cosmetics and household products, as well as specialized cosmetics firms offering both skincare and color cosmetics

Landscape of domestic competitors

			AMOREPACIFIC		
Market cap⁽¹⁾ (KRWbn)	319	4,859	6,980	303	150
Product					
Cosmetics	✓	✓	✓	✓	✓
Skincare	✓	✓	✓	✓	✓
Color	✓	✓	✓	✓	✓
Home care	✓	✓	✓		
Personal care	✓	✓	✓		
Revenue Breakdown					
Cosmetics	38.5%	41.8%	89.5%	98.2%	100.0%
Household	61.5%	26.8%		1.8%	
Skincare		31.4%		26.6%	35.0%
Color				71.7%	30.2%
Other					
Key export countries	China, Japan, North America	China, North America, Japan	China, North America, Europe	Japan, North America, Southeast Asia	Japan, Europe, North America
Revenue & EBITDA% (KRWbn)					
FY22	8.9% 610	13.9% 7,186	12.2% 4,135	7.7% 272	8.1% 248
FY23	11.5% 669	11.1% 6,805	9.8% 3,674	11.0% 331	7.9% 274
FY24	9.3% 679	10.5% 6,812	12.3% 3,885	7.7% 351	11.6% 264
Flagship brand	 2080 Age20's	 Perioe The whoo Sulwhasoo Hera		 Clio Peripera	 Missha A'pieu

Source: DART, Company Filings

Notes: (1) As of Apr 10, 2025

A low-angle, upward-looking photograph of several modern skyscrapers with glass facades. The buildings are dark and reflective, set against a pale, overcast sky. The perspective creates a sense of height and scale.

III. Company Overview

1. Company Snapshot
2. Product Overview
3. Deal Overview

Company Snapshot

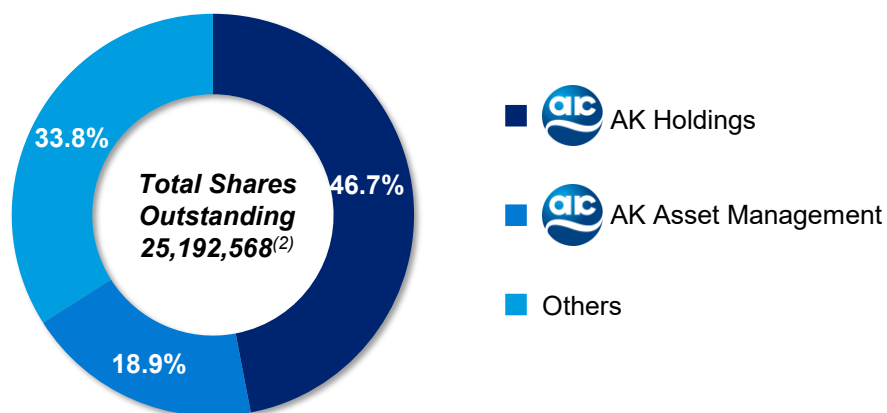
Astra is a leading Korean company with strong domestic presence in household items, and growing global strength in cosmetics through proven brands

Company profile

- Founded in 1985 and headquartered in Seoul, Astra(or “the Company”) is engaged in cosmetics and household items industries
- The Company offers a comprehensive cosmetic solution of skincare, base makeup, and color cosmetics through diverse distribution channels, with 66% of sales generated overseas
- Acquired 70.0%⁽¹⁾ of One Thing at KRW14bn in May 2022 to strengthen the cosmetics business and bolster Japanese market exposure
- Astra is ranked 3rd in the domestic household goods industry, with leading brands contributing to its top-tier performance
- In April 2025, Astra’s main shareholder, AK Holdings appointed KPMG as a sell-side advisor, for the potential sale of 63.2% stake of the Company

Shareholding structure⁽²⁾

(%)

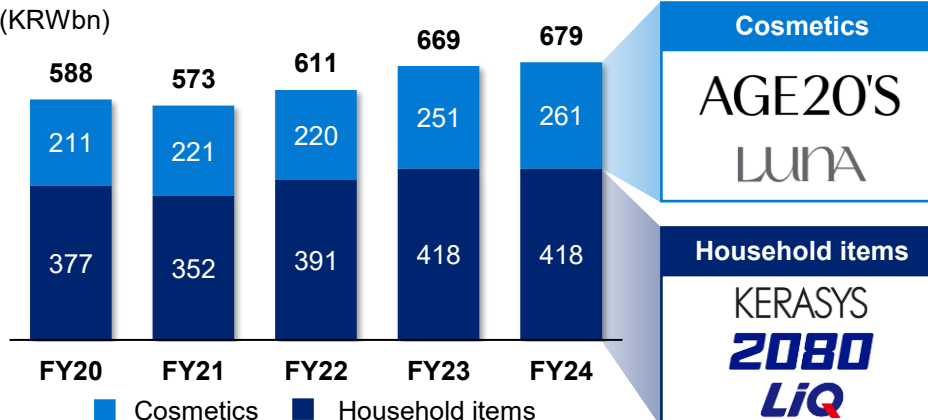


Key financials

(KRWmn)	FY20	FY21	FY22	FY23	FY24
Revenue	588,136	573,923	610,411	668,867	679,077
YoY growth (%)	-	(2.4%)	6.4%	9.6%	1.5%
Gross Profit	257,886	242,685	268,417	314,727	315,472
Margin (%)	43.8%	42.3%	44.0%	47.1%	46.5%
EBITDA	36,242	39,570	54,253	77,164	62,968
Margin (%)	6.2%	6.9%	8.9%	11.5%	9.3%
EBIT	22,370	24,385	39,039	61,938	46,825
Margin (%)	3.8%	4.2%	6.4%	9.3%	6.9%
Net Income	11,460	15,725	16,682	48,605	42,499
Margin (%)	1.9%	2.7%	2.7%	7.3%	6.3%
Total Assets	434,467	431,493	482,640	482,373	499,351
Total Liabilities	101,424	85,261	123,666	94,746	98,740
Net Debt	(86,244)	(117,665)	(110,624)	(108,982)	(47,592)

Revenue breakdown

(KRWbn)



Source: DART, Company Filings, Market Intelligence

Notes: (1) Currently holds 85%, as of Apr 9, 2025; (2) As of Dec 31 2024

Product Overview

Astra operates across three business segments: beauty, personal care, and home care with AGE20'S and LUNA driving most of the beauty sales

Competitive edge		Major brands	Best seller products ⁽¹⁾ and target region	
Beauty	Wide-ranging product portfolio that spans from skincare to base makeup	AGE20'S LUNA twoedit ONE THING a. solution ✓ AGE20'S and LUNA focus on base makeup, A SOLUTION targets trouble care, and ONE THING specializes in essential skincare ✓ TWO EDIT is a second brand of LUNA, launched specifically for Daiso with a focus on affordability	AGE20'S Signature essence cover pact LUNA Long-lasting tip concealer	
	High consumer loyalty and solid brand recognition	KERASYS BLACK FORET. 2080 TOOTHPASTE BYCOLOR Shower Mate ✓ KERASYS caters to women's hair care and BLACK FORET addresses hair loss concerns ✓ BYCOLOR and 2080 are popular dental care brands; 2080, in particular, has a long-standing presence since 1998	KERASYS Lovely & Romantic Perfume Shampoo 2080 Total blue BLACK FORET Frozen Cool&Deep Clean Shampoo	
	Aligns with consumer preferences for premium and eco-conscious offerings	LIQ ΔTIE ZET ONLY HOT EPIQ TRIO ✓ LiQ was launched as part of the 'Smart Green' initiative, aiming to offer eco-conscious detergent solutions ✓ SPARK emphasizes its cleansing power even in cold water, while ZeT is positioned as a more premium line compared to LiQ	LIQ Ultra gel essence SPARK Original refill ZeT Max Perfume Color Care Lavender	

Source: Company Filings

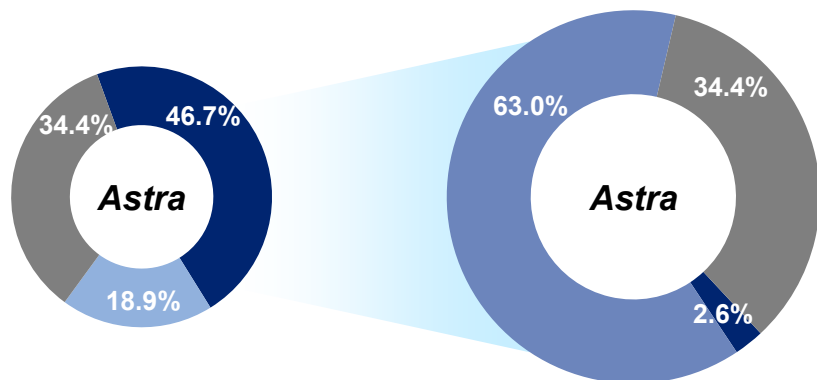
Notes: (1) As of FY23

Deal Overview

Aekyung Group, facing a serious liquidity crisis driven by underperformance of its subsidiary, decided to dispose of Astra as part of a liquidity-driven effort to sustain group operations

Deal structure

(%) ■ AK Asset Management ■ AK Holdings ■ Acquirer ■ Others



	Sell side	Market ⁽¹⁾
Deal value	a.KRW600bn	n/a
Implied equity value	KRW952bn ⁽²⁾	KRW348bn
Implied enterprise value	KRW905bn	KRW301bn
EV/EBITDA	14.4x	4.8x
PER	22.4x	8.2x

Significant gap between the seller's expectations and the market valuation

Undervalued

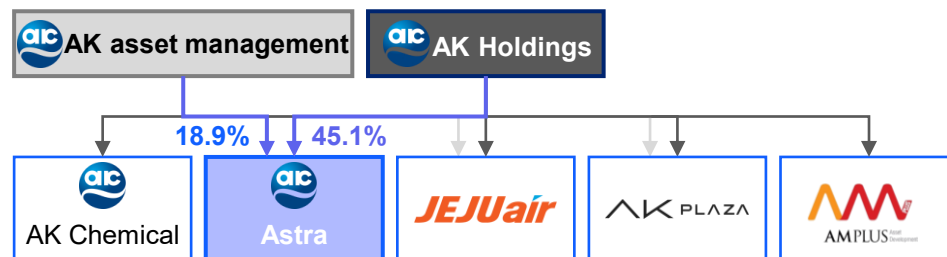
Astra is **undervalued**, trading at lower multiples compared to peers (median EV/EBITDA: 9.3x, PER: 25.0x)⁽¹⁾

Control premium

Due to its pressing funding needs, Aekyung Group is demanding a **high control premium**

Deal background

Corporate structure of Aekyung group



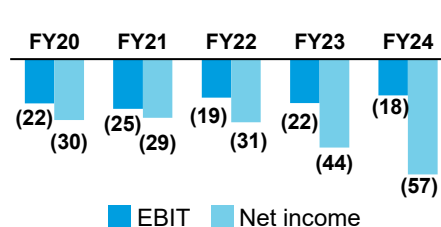
1

Undergoing liquidity crisis

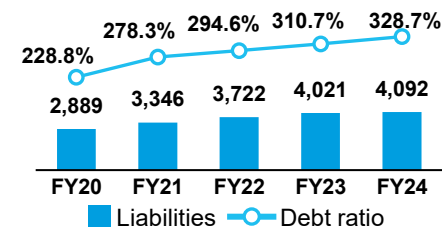
(%, KRWbn)

AK PLAZA

AK Holdings



AK Plaza's continued losses are weighing on consolidated financials



AK Holdings is facing a liquidity crisis amid rising debt levels and ratios

2

Most viable candidate for disposal

JEJUair

- Regulatory licensing burden on the acquirer
- Prolonged timeline required to complete the transaction

Astra

- Favorable recent market for domestic cosmetics
- Multiple FIs as potential buyers

Source: DART, eGroup, Market Intelligence

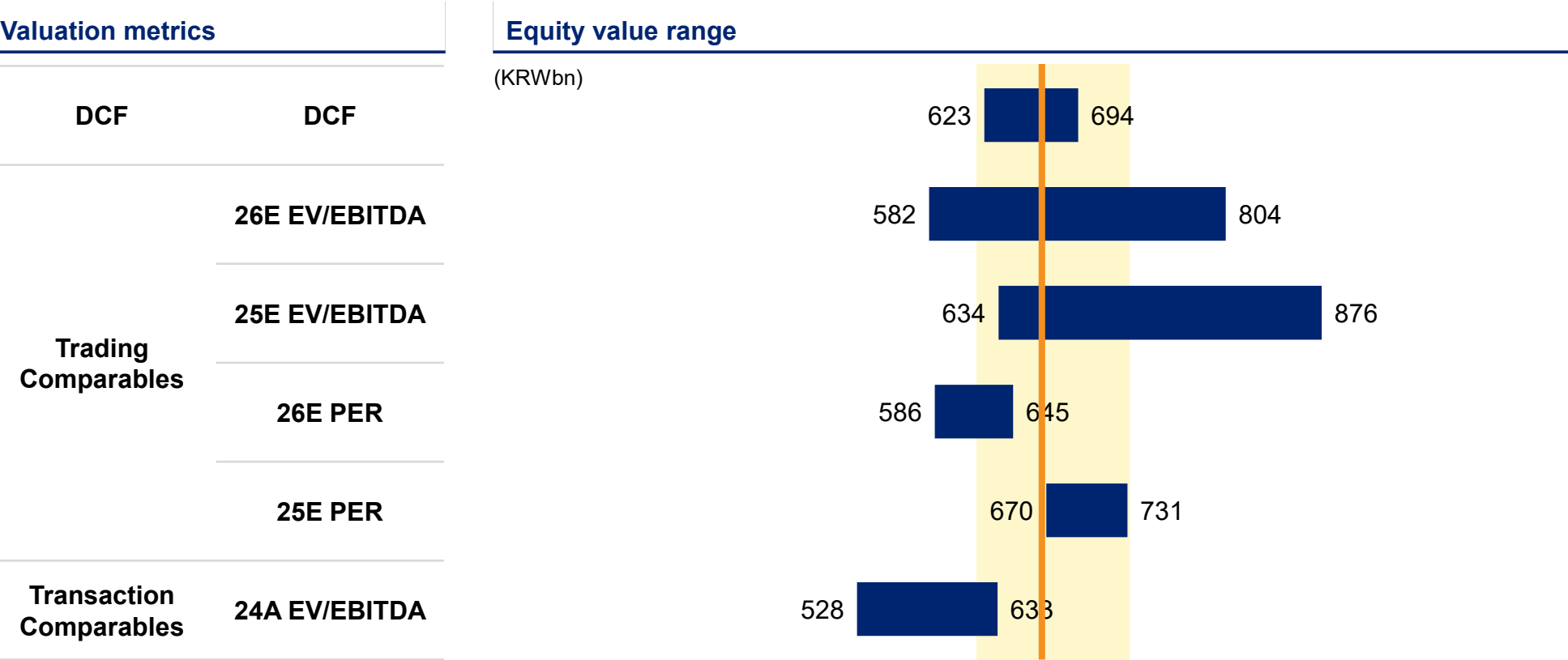
Notes: (1) As of Apr 8, 2025; (2) Assumed deal value is KRW600bn for 63% of shares

IV. Financials & Valuation

1. Valuation Analysis
2. Revenue Projection Summary
3. DCF Valuation Summary (Base)

Valuation Analysis

Combining the results from multiple valuation methodologies, the football chart analysis yields an implied equity band of KRW602bn–KRW736bn



Astra

Price
Band

KRW602bn ~ KRW736bn

Suggested
Equity Value

KRW 669bn

Revenue Projection Summary

Astra's base case revenue is expected to increase from KRW679bn in FY24 to KRW836bn in 29E, driven by a 4Y CAGR of 2.3% in household items revenue and 7.6% in cosmetics revenue

Astra's revenue breakdown

(KRWbn)

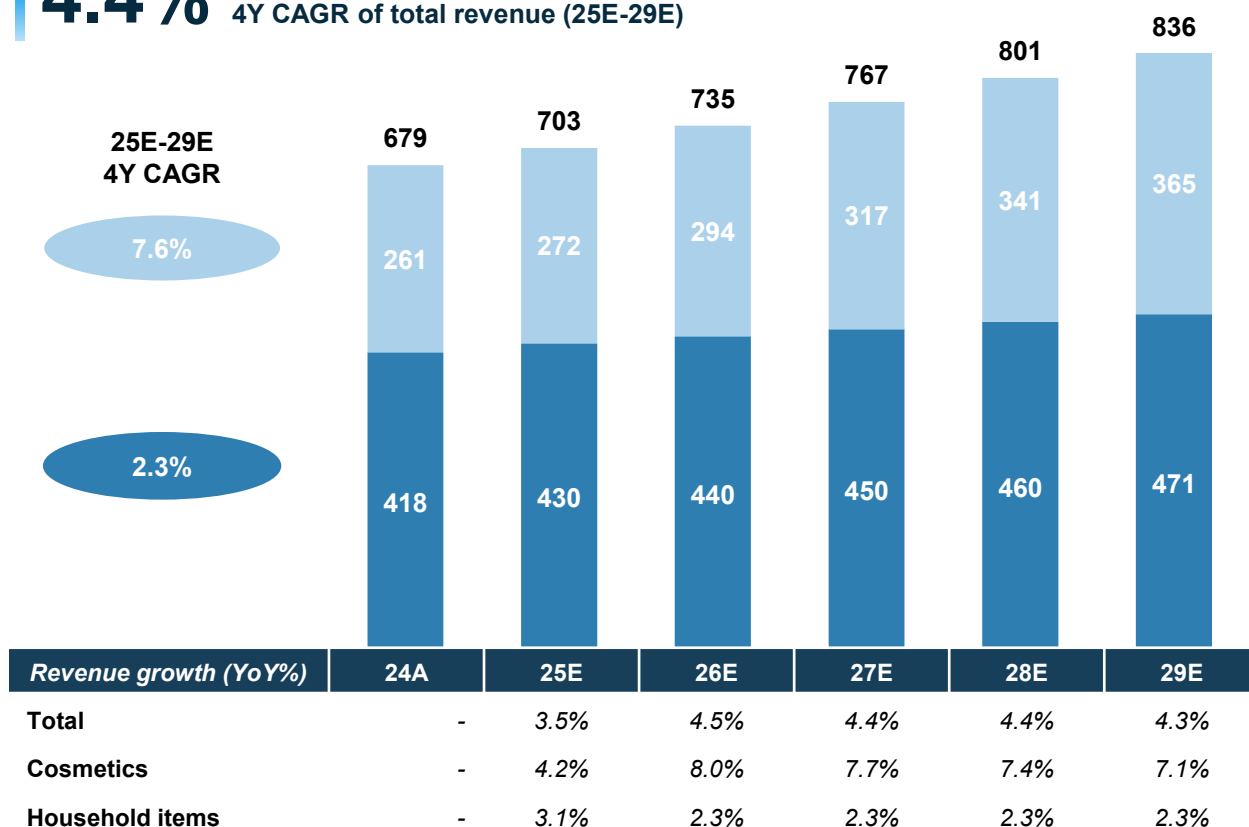
■ Cosmetics ■ Household items

4.4% 4Y CAGR of total revenue (25E-29E)

25E-29E
4Y CAGR

7.6%

2.3%



Cosmetics

	ASP	Quantity
Sales from products	- ASP is calculated by dividing the sales revenue of products by the production volume - ASP is assumed to increase at the target inflation rate	- Quantity is estimated based on the capacity and the utilization rate - Capacity of each division was assumed to be FY24 constant
Sales from goods	Domestic and overseas sales from goods are projected to grow in line with the domestic and global cosmetics market growth rate	

Household items

	ASP	Quantity
Sales from products	- ASP is calculated by dividing the sales revenue of products by the production volume - ASP is assumed to increase at the target inflation rate	- Quantity is estimated based on the capacity and the utilization rate - Capacity of each division was assumed to be FY24 constant
Sales from goods	Domestic and overseas sales from goods are projected to grow in line with the domestic and global household items market growth rate	

DCF Valuation Summary (Base)

Our base case DCF analysis, with a projection period of 5 years, beta of 0.7, WACC of 6.0%, and a terminal growth rate of 0.8%, results in an estimated enterprise value of Astra to return KRW526bn

Free cash flow analysis

(KRWmn)	Historical	Projection				
	24A	25E	26E	27E	28E	29E
EBIT	46,825	50,721	51,085	52,392	56,922	63,743
Marginal Tax Rate	23.1%	23.1%	23.1%	23.1%	23.1%	23.1%
NOPAT	36,008	39,004	39,284	40,290	43,773	49,018
(+) D&A	16,167	17,603	20,848	23,268	22,587	19,739
(-) Capital Expenditure	(13,903)	(30,179)	(31,539)	(32,940)	(34,386)	(35,877)
(-) Changes in NWC	(23,555)	7,672	(5,367)	(5,536)	(5,433)	(5,340)
Free Cash Flow to the Firm	14,717	34,099	23,227	25,081	26,541	27,541

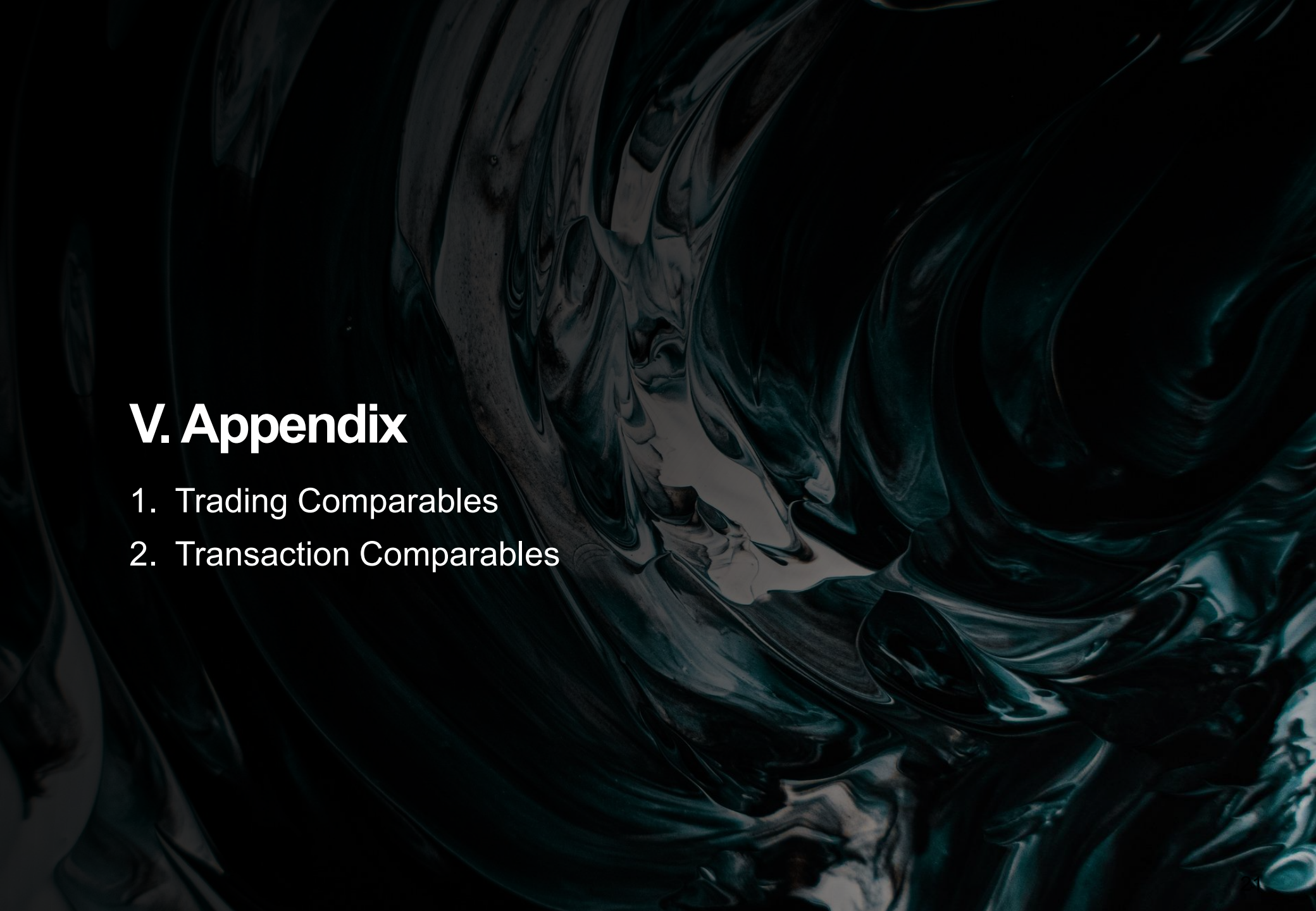
DCF summary

Beta	0.67
WACC	6.0%
Projection period	5Y
Terminal growth rate	0.8%

EV
KRW526bn
EqV
KRW670bn

Sensitivity analysis for enterprise value

EV	Terminal Growth Rate					
Discount Rate (WACC)	(KRWmn)	0.4%	0.6%	0.8%	1.0%	1.2%
	5.6%	532,460	549,976	568,960	589,607	612,144
	5.8%	512,922	529,019	546,412	565,263	585,764
	6.0%	494,789	509,625	525,608	542,879	561,598
	6.2%	477,913	491,624	506,356	522,227	539,377
	6.4%	462,169	474,871	488,486	503,115	518,875



V. Appendix

1. Trading Comparables
2. Transaction Comparables

Trading Comparables

Below are the data for comparable trading companies and the corresponding statistics for major valuation multiples

Trading comparables in cosmetics and household items market

(KRWbn)

						EV/EBITDA				Price/Earnings			
Company	Headquarters	Share Price	Market cap	Enterprise	FY2023	FY2024	2025E	2026E	FY2023	FY2024	2025E	2026E	
Tier 1: Domestic comprehensive consumer goods companies both covering personal care & cosmetics													
LG H&H Co., Ltd.	South Korea	KRW	299,500	5,018,434	4,318,347	5.7x	6.0x	5.9x	5.6x	35.2x	26.5x	17.8x	15.2x
Amorepacific Corporation	South Korea	KRW	104,100	7,180,325	6,939,470	19.3x	14.5x	10.7x	9.7x	39.9x	12.1x	21.2x	18.4x
Tier 1: Domestic comprehensive consumer goods companies both covering personal care & cosmetics - Mean						12.5x	10.3x	8.3x	7.6x	37.5x	19.3x	19.5x	16.8x
Tier 1: Domestic comprehensive consumer goods companies both covering personal care & cosmetics - Median						12.5x	10.3x	8.3x	7.6x	37.5x	19.3x	19.5x	16.8x
Tier 2: East Asia comprehensive consumer goods companies both covering personal care & cosmetics													
Kao Corporation	Japan	JPY	6,225	29,056,795	28,302,046	16.2x	12.9x	11.2x	10.5x	n/m	28.7x	n/a	n/a
Lion Corporation	Japan	KRW	17,340	4,792,595	4,317,830	11.1x	9.3x	8.3x	7.9x	35.6x	24.1x	n/a	n/a
Shiseido Company, Limited	Japan	JPY	2,345	9,410,740	12,106,003	14.1x	19.5x	10.7x	8.7x	n/m	n/m	n/a	n/a
KOSÉ Corporation	Japan	JPY	5,667	3,249,819	2,456,659	10.1x	9.3x	7.3x	6.6x	30.3x	n/m	n/a	n/a
Mandom Corporation	Japan	JPY	1,275	578,341	367,389	5.6x	6.2x	7.0x	4.5x	n/m	25.0x	n/a	n/a
Tier 2: East Asia comprehensive consumer goods companies both covering personal care & cosmetics - Mean						11.4x	11.4x	8.9x	7.7x	33.0x	25.9x	n/m	n/m
Tier 2: East Asia comprehensive consumer goods companies both covering personal care & cosmetics - Median						11.1x	9.3x	8.3x	7.9x	33.0x	25.0x	n/m	n/m
Total - Mean						11.7x	11.1x	8.7x	7.6x	35.2x	23.3x	19.5x	16.8x
Total - Q1						7.9x	7.7x	7.2x	6.1x	33.9x	24.1x	18.6x	16.0x
Total - Median						11.1x	9.3x	8.3x	7.9x	35.4x	25.0x	19.5x	16.8x
Total - Q3						15.1x	13.7x	10.7x	9.2x	36.7x	26.5x	20.3x	17.6x

Source: DART, Capital IQ, Market Intelligence

Transaction Comparables

Below are data for precedent transaction analysis and the corresponding statistics for major valuation multiples

Precedent M&A transactions in cosmetics and household items market

(KRWbn)

Target company	Announced date	Buyer	Seller	Deal conditions				Trailing multiples			
				Deal Size	Stake (%)	Implied Eqv	Implied EV	EBITDA	Earnings	EV/EBITDA	P/E
Domestic household and beauty products providers											
SkinFactory	2021-05-13	VIG Partners	Min Woong Kim	173	100.0%	173	153	34	30	4.6x	5.8x
TirTir	2024-08-26	Goodai Global	The Hahm Partners	150	50.0%	300	275	31	24	8.8x	12.7x
Dasique	2023-11-12	KD Investment	Jeongmi Yeon, Kyeongjae Lee	30	100.0%	30	37	6	4	6.6x	8.3x
TirTir	2023-06-23	The Hahm Partners	Yubin Lee & FIs	89	50.0%	178	155	21	16	7.4x	11.2x
Domestic household and beauty products providers - Mean										6.8x	9.5x
Domestic household and beauty products providers - Q1										6.1x	7.7x
Domestic household and beauty products providers - Median										7.0x	9.8x
Domestic household and beauty products providers - Q3										7.8x	11.6x



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